

Raman Ispat (Pvt.) Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors.

Allahabad High Court · Division Bench · 4 September 2009 · 2009 SCC OnLine All 1064 · Civil Misc. Writ Petition No. 27290 of 2008 (with W.P. Nos. 16147 of 2009 and 16149 of 2009) · **All three connected writ petitions dismissed with costs**

HEADNOTE

Where a purchaser of premises seeks a fresh electricity connection or enhancement of load to the same premises, the distributor may lawfully stipulate, as a condition of supply, the clearing of the arrears left by the previous consumer of those premises. Although past electricity dues are not a charge on the premises and a transferee/subsequent occupant with no privity cannot be saddled with a predecessor's dues (*Isha Marbles; Ahmedabad Electricity Co.*), the Supreme Court in *PVVNL v. DUS Steels* held that when the purchaser approaches the distributor for a fresh connection or enhanced load to the same premises, the distributor can stipulate payment of the arrears as a condition, and such a stipulation is neither unreasonable nor arbitrary; the amended Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005 further makes seller and purchaser jointly and severally liable and the outstanding dues a first charge on the company's assets. On the facts, the Court, lifting the corporate veil, found R.P. Singh to be the person behind M/s Sai Steels, M/s Singh Alloys and the petitioner M/s Raman Ispat, and held that the recovery of Sai Steels' dues could be made a condition precedent to enhancement of Raman Ispat's load; the petitioners, having spun a web of acquisitions and name-changes and not come with clean hands, were denied relief and the petitions dismissed with costs.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

Clearing predecessor's arrears may be stipulated as a condition of a fresh connection / load enhancement to the same premises

QUESTION

May a distributor require the purchaser of premises to clear the previous consumer's arrears as a condition of a fresh connection or enhancement of load to the same premises?

HOLDING

Yes. Following *PVVNL v. DUS Steels*, though past dues are not a charge on the premises and cannot be recovered from a transferee as such, the distributor may, when the purchaser seeks a fresh connection or enhanced load to the same premises, stipulate clearing of the arrears as a condition of supply; such a stipulation is not unreasonable or arbitrary. The amended Clause 4.3(f)(i) reinforces this by making the seller and purchaser jointly and severally liable for the outstanding dues and making those dues a first charge on the company's assets, entered in the agreement with the new applicant. ¶ (pp. 505-508)

LIMITING FACTS

Petitioner sought enhancement of Raman Ispat's contracted load; the licensee required clearance of M/s Sai Steels' arrears on the same industrial plot as a condition; amended Clause 4.3(f)(i) was not challenged.

INTERPLAY · UP-2005::4.3(f)

Lifting the corporate veil to fix arrears liability where the same person controls the defaulting and the applicant entities

QUESTION

Can the corporate veil be lifted to hold the applicant liable for the defaulting entity's dues where a common controlling person has used a web of acquisitions and name-changes to escape recovery?

HOLDING

Yes. The department was justified in lifting the veil and finding R.P. Singh to be the person behind M/s Sai Steels (the defaulter), M/s Singh Alloys and the petitioner M/s Raman Ispat, so that the dues of Sai Steels could be recovered from him and made a condition precedent to enhancement of Raman Ispat's load. The petitioners failed to prove the absence of relationship between the entities, withheld material facts to obtain an interim order, and did not come with clean hands; all three petitions were dismissed with costs. ¶ (pp. 509-512)

LIMITING FACTS

Common directors/partners; adjoining industrial plots; property routed through a PICUP auction (s.29, State Financial Corporations Act, 1951) and successive sale deeds back into the petitioner-company controlled by the same person; deed of dissolution and change of partners never produced.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer Past dues are not a charge on premises and cannot be foisted on a mere transferee, but a distributor may stipulate clearance of arrears as a condition of a fresh connection or load enhancement to the same premises. Lead authorities: *Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels & Alloys Pvt. Ltd.* ¶ (pp. 507-508)

arrears-run-with-the-premises Under the amended Clause 4.3(f)(i), clearing the outstanding dues on the premises is a condition of a fresh connection/enhancement, the dues being a first charge on the company's assets and seller and purchaser jointly and severally liable. ¶ (pp. 505-506)

lifting-corporate-veil-to-fix-arrears-liability Where a common controlling person uses a web of firms/companies and acquisitions to escape recovery, the veil may be lifted to hold the applicant entity liable for the defaulter's arrears as a condition of supply. ¶ (pp. 510-512)

no-relief-to-litigant-without-clean-hands A petitioner who withholds material facts and obtains an interim order by painting a false picture is not entitled to discretionary relief. ¶ (p. 512)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — APPLICABILITY OF THE AMENDED CLAUSE 4.3(F)(I) TO A STATUTORY AUCTION SALE BY A FINANCIAL CORPORATION PRIOR TO 11.8.2006

The petitioner argued Clause 4.3(f)(i) (in force 11.8.2006) did not apply to the earlier PICUP sale under the State Financial Corporations Act, 1951, but the petitions failed on the veil-lifting and clean-hands findings and the point was not decided in the petitioner's favour. ¶ (pp. 507-508)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels & Alloys Pvt. Ltd.</i> JT 2008 (12) SC 672 (decided 7.11.2008) Supreme Court	Supply of electricity is a sale of goods; a transferee/subsequent occupant with no privity cannot be asked to pay a predecessor's dues as the amount is not a charge on the premises, but when the purchaser seeks a fresh connection or enhanced load to the same premises the distributor may stipulate clearing of the past dues as a condition of supply, and such a stipulation is neither unreasonable nor arbitrary.	Relied on to uphold the licensee's stipulation of clearing Sai Steels' arrears as a condition of enhancing Raman Ispat's load to the same premises. ¶ (p. 508)	Respondent	Relied on
<i>Isha Marbles v. Bihar State Electricity Board</i> (1995) 2 SCC 648 Supreme Court	It is impossible to impose on an auction-purchaser (a third party with no privity with the previous consumer) a liability for the electricity dues incurred by the previous owner/occupier.	Cited by the petitioner for the proposition that past dues cannot be enforced against a subsequent purchaser; distinguished/limited in light of DUS Steels where a fresh connection/enhancement to the same premises is sought. ¶ (pp. 506-508)	Petitioner	Distinguished
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns (P) Ltd.</i> (2004) SCC 587 (as cited) Supreme Court	Past electricity dues are not a charge over the property; the auction-purchaser may seek supply of energy without being saddled with the previous owner's dues.	Cited by the petitioner alongside <i>Isha Marbles</i> ; not applied to defeat the licensee's stipulation given DUS Steels. ¶ (pp. 506-507)	Petitioner	Distinguished

Vijay Lakshmi v. Bihar State Electricity Board & Ors.

High Court of Patna · Single Judge · 12 August 2013 · 2013 SCC OnLine Pat 966 : (2013) 4 PLJR 210 : (2013) 4 BBCJ 72 · CWJC No. 17712 of 2012 · **Writ application disposed of; the Board directed not to insist on payment of the erstwhile tenant's arrears and to grant a new domestic connection to the petitioner within one month under Section 43 of the Electricity Act, 2003**

HEADNOTE

Clause 4.15(vi) of the Bihar Electricity Supply Code, 2007 fastens liability for a tenant's electricity arrears on the house-owner only where the connection to the premises was given with the owner's consent; that consent is a precondition to the sub-clause and, absent proof of it, the owner (or a successor-in-title who is neither an associate nor a relative of the defaulting consumer) cannot be refused a fresh connection on account of the tenant's dues. Electricity arrears are not a charge on the premises, so a transferee is liable for a predecessor's dues only where statutory rules or statutory conditions of supply so provide (*Haryana SEB v. Hanuman Rice Mills*; *PVVNL v. DvS Steels*). Here the petitioner acquired the premises through a family partition decree, there was nothing on record to show the tenant's connection had been given with the consent of the petitioner's father, and the Code of 2007 was not even in force on the date of disconnection (11.3.2007), so Clause 4.15(vi) could not be applied retrospectively. The third proviso to Clause 4.1 (arrears of an associate/relative) had no application, and Section 56(2) of the Act was inapplicable on the facts. The Board was directed to grant the connection.

HOLDING-UNITS

HOLDING-UNIT · BIHAR-2007::4.15

Owner's liability for a tenant's arrears arises only where the connection was given with the owner's consent; no retrospective application

QUESTION

Can the Board refuse a new connection to the owner/successor of premises under Clause 4.15(vi) on account of a former tenant's arrears, where there is no proof the tenant's connection was given with the owner's consent and the Code post-dates the disconnection?

HOLDING

No. Clause 4.15(vi) applies only where the electricity connection to the premises was given with the consent of the house-owner; that precondition must be satisfied before the owner can be made liable for the tenant's arrears. There being nothing on record to show the tenant's connection was given with the consent of the petitioner's father, and the Code of 2007 not being in force on the date of disconnection (so the clause cannot operate retrospectively), the Board could not insist on payment of the tenant's arrears and was directed to grant a new connection within one month. ¶ 16-18

LIMITING FACTS

Petitioner became owner through a family partition compromise decree (2003); premises had arrears (Rs. 2,03,473) of a former tenant (Shankar Rai) whose LTIS connection was disconnected on 11.3.2007; Bihar Supply Code gazetted 10.1.2008; petitioner not an associate or relative of the defaulting tenant.

HOLDING-UNIT · BIHAR-2007::4.1

Arrears of an associate/relative: third proviso to Clause 4.1 inapplicable to an unconnected successor

QUESTION

Does the third proviso to Clause 4.1 (which bars a new connection where the applicant is an associate or relative of the defaulting consumer with arrears) apply to the petitioner?

HOLDING

No. The third proviso to Clause 4.1 applies only where the applicant is an associate or relative of the defaulting consumer; the petitioner, being neither an associate nor a relative of the erstwhile tenant, does not fall within it, and it furnishes no ground to deny her a connection. ¶ 15

LIMITING FACTS

Defaulting consumer was the father's erstwhile tenant, not a relative or associate of the petitioner.

PRINCIPLE TAGS

owner-consent-precondition-clause-4.15vi-bihar-code Clause 4.15(vi) of the Bihar Supply Code makes the owner liable for a tenant's arrears only where the connection was given with the owner's consent; without proof of consent the clause cannot be invoked to deny a fresh connection. ¶ 16

electricity-arrears-not-a-charge-transferee-liable-only-under-statutory-rules Electricity arrears are not a charge on the premises; a transferee is liable for a predecessor's dues only where statutory rules or statutory conditions of supply so authorise. Lead authorities: *Haryana State Electricity Board v. Hanuman Rice Mills*, *Paschimanchal Vidyut Vitran Nigam Ltd. v. DvS Steels & Alloys (P) Ltd.* ¶ 9-10

no-retrospective-operation-of-supply-code-clause A Supply Code clause cannot be applied retrospectively to fasten liability arising from a disconnection that pre-dates the Code's coming into force. ¶ 17

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — APPLICABILITY OF SECTION 56(2) OF THE ELECTRICITY ACT, 2003 (TWO-YEAR LIMITATION)

Held to have no application on the facts, since the last bill at disconnection (11.3.2007) showed the entire arrears and the arrears were not being carried forward as continuously recoverable. ¶ 14

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Haryana State Electricity Board v. Hanuman Rice Mills</i> 2010 (4) PLJR (SC) 61 Supreme Court	Electricity arrears do not constitute a charge over the property, so a transferee of premises cannot in general law be made liable for the dues of the previous owner/occupier; but where statutory rules or statutory conditions of supply authorise the supplier to demand the previous owner/occupier's arrears from a purchaser seeking re-connection or a fresh connection, the supplier can recover the arrears from the purchaser.	Relied on to hold that, absent an applicable statutory condition, the petitioner-transferee could not be saddled with the former tenant's arrears. ¶ 9-10	Petitioner	Relied on
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. DvS Steels & Alloys (P) Ltd.</i> (2009) 1 SCC 210 Supreme Court	A transferee/subsequent occupant with whom the supplier has no privity cannot be asked to pay the dues of a predecessor, as the amount is not a charge on the premises; but the distributor may stipulate clearance of past arrears as a condition of a fresh connection, and where statutory rules govern such conditions the distributor may insist on their fulfilment.	Referred (through Hanuman Rice Mills) for the principle that arrears bind a purchaser only under statutory conditions of supply. ¶ 9	Petitioner	Referred
<i>Smt. Rekha Gupta v. Bihar State Electricity Board</i> 1999 (3) PLJR 222 High Court of Patna	The liability to pay electricity dues is a personal contractual liability between the Board and the consumer and cannot be enforced against a third party such as a landlord or bona fide purchaser unconnected with the erstwhile consumer, as it is not a charge over the property; the Board cannot take advantage of its own wrong in allowing arrears to accumulate to refuse a new connection.	Relied on for the principle that arrears are a personal liability not enforceable against an unconnected successor. ¶ 7	Petitioner	Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Archana Devi v. Chairman, Bihar State Electricity Board</i> 2012 (4) PLJR 701 High Court of Patna	Under the Supply Code, no obligation is cast on a purchaser to enquire into or clear pending electricity dues unless she is a relative of the defaulting consumer; the third proviso to Clause 4.1 requires clearance only from such a relative-purchaser.	Relied on to hold that no duty to clear the former tenant's dues was cast on the unconnected petitioner. ¶ 8	Petitioner	Relied on
<i>Isha Marbles v. Bihar State Electricity Board</i> (1995) 2 SCC 648 Supreme Court	A purchaser of a unit in a statutory auction who had no connection with the original consumer is not bound by the personal agreement of, and is not statutorily liable to clear the personal dues of, the erstwhile consumer.	Referred (through Rekha Gupta) as affirming the Patna High Court's view that unconnected purchasers are not liable for a predecessor's dues. ¶ 7	Petitioner	Referred
<i>Sanjay Kumar Singh v. Bihar State Electricity Board</i> CWJC No. 16101 of 2010, decided 2 December 2010 High Court of Patna	In view of Clause 4.15(vi), no fault can be found with the Board's stand that until dues are cleared it need not provide a connection.	Distinguished as of no avail, since the issues of the consent precondition and non-retrospectivity of Clause 4.15(vi) did not arise there. ¶ 18	Respondent	Distinguished

SCJ-268 · Vijay Lakshmi v. Bihar State Electricity Board & Ors. · 2013 SCC OnLine Pat 966 : (2013) 4 PLJR 210 : (2013) 4 BBCJ 72 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Anubhav Jaiswal v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 27 August 2014 · WRIT - C No. 44867 of 2014 · **Writ petition disposed of (remand for pro-rata determination after notice to the prior owner)**

HEADNOTE

Under Clause 4.3 of the U.P. Electricity Supply Code, 2005 outstanding electricity dues are the first charge on the premises (Clause 4.3(f)(iv)); but where the property has been legally sub-divided, the dues are apportioned pro-rata (Clause 4.3(g)) and a new connection to a sub-divided portion is released on payment only of the share attributable to that portion (Clause 4.3(h)). A subsequent purchaser of part of a premises cannot be saddled with the dues of the entire premises; the licensee must determine the pro-rata share afresh, after notice to the original owner.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(g)

Pro-rata apportionment of arrears on a sub-divided premises

QUESTION

Can a purchaser of part of a sub-divided premises be required to clear the entire premises' electricity dues before a new connection, or only his pro-rata share?

HOLDING

Only his pro-rata share. Though outstanding dues are the first charge on the premises (Clause 4.3(f)(iv)), on a legal sub-division they are apportioned pro-rata (Clause 4.3(g)) and a connection to the sub-divided portion is given on payment of that portion's share alone (Clause 4.3(h)); the licensee cannot demand the whole. The matter is remanded for fresh pro-rata determination after notice to the original owner.

LIMITING FACTS

The premises passed through four successive owners; the petitioner is the fourth purchaser of a part. As he had not furnished full information, the original refusal was not itself faulted, but a Clause 4.3 determination was directed.

PRINCIPLE TAGS

arrears-apportioned-pro-rata-on-subdivision

On a legal sub-division of a premises, outstanding electricity dues are divided pro-rata; a purchaser of a portion is liable only for that portion's share.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE APPORTIONED SHARE AND THE PETITIONER'S EXACT LIABILITY

Left to fresh determination by the Executive Engineer after notice to the original owner (Islam Beg); no figure was fixed.

Ujala Kumar @ Ujala Singh v. State of Bihar & Ors.

High Court of Patna · Single Judge · 27 August 2014 · 2014 SCC OnLine Pat 2552 · Civil Writ Jurisdiction Case No. 8548 of 2014
 · Writ petition allowed; denial of connection held unjustified; the Executive Engineer/competent authority directed to provide a new connection to the petitioner within four weeks

HEADNOTE

Under Clause 4.15(vi) of the Bihar Electricity Supply Code, 2007 a person is liable to ensure payment of a tenant's electricity arrears only in circumstances where the electricity connection to the premises was given with the consent of the house-owner. That consent is the precondition to liability; and a mere presence of the owner's signature on the tenant/lease-holder's application for a connection cannot signify consent unless the consent is expressed in such terms. Where there is nothing on record to show that the connection was provided with the owner's consent, the denial of a fresh connection to the applicant on account of a previous lease-holder's outstanding dues is unjustified, and the licensee must provide the connection.

HOLDING-UNITS

HOLDING-UNIT · BIHAR-2007::4.15

Owner's consent as precondition to liability for a lease-holder's arrears; mere signature on the application is not consent

QUESTION

Can a fresh connection be denied under Clause 4.15(vi) on account of a previous lease-holder's arrears, where the only material suggesting the owner's consent is his signature on the lease-holder's application?

HOLDING

No. Clause 4.15(vi) makes a person liable for a lease-holder's arrears only where the connection was given with the consent of the house-owner. A mere presence of the owner's signature on the lease-holder's application cannot signify consent unless it is expressed in such terms. There being nothing on record to show the connection was given with the owner's consent, the denial of a fresh connection to the applicant was unjustified, and the authority was directed to provide the connection within four weeks. ¶ (pp. 48-49 of the order)

LIMITING FACTS

Petitioner sought a new connection; it was denied only because a previous lease-holder had outstanding dues; the licensee relied on the petitioner's signature on the lease-holder's connection application as evidence of consent.

PRINCIPLE TAGS

owner-consent-precondition-clause-4.15vi-bihar-code Clause 4.15(vi) fastens liability for a lease-holder's arrears on a person only where the connection was given with the house-owner's consent. ¶ (pp. 48-49)

mere-signature-on-application-is-not-consent A mere signature of the owner on the tenant/lease-holder's connection application does not amount to consent unless expressed in such terms. ¶ (p. 49)

HSA Traders v. Office of the Executive Engineer, Electricity Distribution Division, Paschimanchal Vidyut Vitran Nigam Limited & Anr.

National Company Law Tribunal, Allahabad Bench (Prayagraj) · Division Bench · 21 February 2023 · 2023 SCC OnLine NCLT 10668 · IA No. 219/2022 in CP(IB) No. 140/ALD/2017 · **IA allowed; licensee directed to complete documentation on the applicant's application and energise the electricity connection in terms of the Electricity Act, 2003 without insisting on payment of pre-CIRP dues, the applicants to complete all other statutory requirements**

HEADNOTE

A Successful Auction Purchaser of the assets of a corporate debtor sold in liquidation cannot be required to pay the corporate debtor's pre-CIRP electricity dues as a pre-condition to a fresh electricity connection. By Section 238 of the Insolvency and Bankruptcy Code, 2016 the Code overrides the Electricity Act, 2003 and the U.P. Supply Code, 2005 to the extent of inconsistency (following the NCLAT in *PVVNL v. Raman Ispat*, unstayed though pending in the Supreme Court). Clause 4.3(f) of the Supply Code, which makes outstanding dues a first charge and casts joint liability on seller and purchaser, is inconsistent with Section 53 of the Code; the licensee is at most a secured operational creditor entitled to receive its pre-CIRP dues only through the Section 53 waterfall and cannot realise them from the auction purchaser (following the NCLAT in *Eastern Power Distribution Co. of A.P. v. Maithan Alloys* and the Calcutta High Court in *West Bengal SEDCL v. Sri Vasavi Industries*). On completion of the liquidation the right to recover pre-CIRP dues stands extinguished, and where a duty to supply is cast by the Electricity Act the licensee must energise the connection without insisting on those dues.

HOLDING-UNITS

INTERPLAY · IBC::238

IBC override of the Supply Code; auction purchaser not liable for the corporate debtor's pre-CIRP electricity dues

QUESTION

Does Section 238 IBC override Clause 4.3(f) of the U.P. Supply Code so that a successful auction purchaser of the liquidated assets need not clear the corporate debtor's pre-CIRP electricity dues to obtain a fresh connection?

HOLDING

Yes. Section 238, being a non-obstante provision in a subsequent parliamentary enactment, gives the Code overriding effect over the Electricity Act, 2003 and the Supply Code, 2005 wherever inconsistent (following NCLAT in *PVVNL v. Raman Ispat*). Clause 4.3(f), making outstanding dues a first charge and casting joint liability on seller and purchaser, is inconsistent with Section 53 and cannot be enforced against the auction purchaser; the licensee's demand of pre-CIRP dues as a pre-condition to the connection was rejected. ¶ 9-13

LIMITING FACTS

Applicant No. 1 (HSA Traders, sole proprietor) was the successful auction purchaser of the liquidated assets of corporate debtor Shashi Oils & Fats Pvt. Ltd. (dissolved 15.07.2021); the connection was sought in the name of Applicant No. 2 (Ez waste Recycling Pvt. Ltd.), of which he is a director; licensee demanded Rs. 39,15,625 of pre-CIRP dues.

INTERPLAY · IBC::53

Liquidation waterfall: licensee a secured operational creditor recovering pre-CIRP dues only under Section 53; extinguishment of the right to recover from the purchaser

QUESTION

How are the licensee's pre-CIRP electricity dues to be recovered where the premises are sold in liquidation, and can they be demanded from the auction purchaser before supply?

HOLDING

The licensee is at most a secured operational creditor entitled to receive its pre-CIRP dues only through the Section 53 distribution of liquidation proceeds; it cannot realise them from the successful auction purchaser (*Maithan Alloys*). On completion of the liquidation the right to recover the pre-CIRP dues stands extinguished, and where the Electricity Act casts a duty to supply the licensee must energise the connection without insisting on those dues. ¶ 12-16

LIMITING FACTS

Assets sold in liquidation of Shashi Oils & Fats; licensee's claim to be lodged with the Liquidator; demand of Rs. 39,15,625 raised against the purchaser; Respondent admitted no recovery had been initiated against the applicant.

PRINCIPLE TAGS**section-238-ibc-overrides-supply-code-clause-4.3f**

Section 238 IBC overrides Clause 4.3(f) of the U.P. Supply Code where inconsistent; a fresh connection to an auction purchaser cannot be conditioned on clearing the corporate debtor's pre-CIRP dues. Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd. (NCLAT)*. ¶ 9-11

pre-cirp-electricity-dues-recoverable-only-under-section-53-waterfall

The licensee is a secured operational creditor recovering pre-CIRP dues only through the Section 53 waterfall, not from the auction purchaser; on liquidation the right to recover from the premises/purchaser is extinguished. Lead authorities: *Eastern Power Distribution Co. of Andhra Pradesh Ltd. v. Maithan Alloys Ltd. (NCLAT)*, *West Bengal State Electricity Distribution Co. Ltd. v. Sri Vasavi Industries Ltd..* ¶ 12-15

duty-to-supply-survives-extinguishment-of-right-to-recover

On extinguishment of the right to recover, if a duty to supply is cast under the Electricity Act, 2003, the licensee cannot escape performing that duty and must energise the connection. Lead authorities: *West Bengal State Electricity Distribution Co. Ltd. v. Sri Vasavi Industries Ltd..* ¶ 14-15

NOT DECIDED — NEGATIVE AUTHORITY**NOT DECIDED — FINAL CORRECTNESS OF THE NCLAT'S SECTION 238 RULING IN PUVNL V. RAMAN ISPAT**

The NCLAT order (15.05.2019) was under challenge in the Supreme Court (CA No. 7976/2019) but unstayed; the Tribunal decided the issue as per the NCLAT ruling. ¶ 9-10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd. (NCLAT)</i> Company Appeal (AT) (Insolvency) No. 639 of 2018, decided 15 May 2019 National Company Law Appellate Tribunal	Section 238 of the I&B Code, being a subsequent parliamentary law with a non-obstante clause, has overriding effect on all laws in force including the Electricity Act, 2003 and the rules/regulations framed thereunder where inconsistent; the Electricity Act cannot override the Code.	Followed to hold that Clause 4.3(f) of the Supply Code yields to the Code and the auction purchaser need not clear pre-CIRP dues. ¶ 9-10	Applicant	Followed
<i>Eastern Power Distribution Co. of Andhra Pradesh Ltd. v. Maithan Alloys Ltd. (NCLAT)</i> Company Appeal (AT) (Insolvency) No. 961 of 2021 National Company Law Appellate Tribunal	A successful auction purchaser in the liquidation of a corporate debtor is not liable to pay the electricity dues (pre-CIRP and during CIRP) of the corporate debtor; the licensee's pre-CIRP dues are operational debt to be paid under Section 53 and the licensee cannot realise them from the auction purchaser, that being in conflict with the statutory scheme of the Code.	Followed to direct energisation of the connection without insisting on pre-CIRP dues. ¶ 13	Applicant	Followed
<i>West Bengal State Electricity Distribution Co. Ltd. v. Sri Vasavi Industries Ltd.</i> MAT 646 of 2022, Calcutta High Court, decided 12 July 2022 Calcutta High Court (DB)	In case of conflict with State legislation the IBC prevails over the State Electricity Regulation; on extinguishment of the right to recover pre-resolution dues, if a duty to supply is cast under the Electricity Act, 2003, the supplier cannot escape performing that duty and must provide the connection.	Followed to direct the licensee to energise the connection in terms of the Electricity Act without insisting on pre-CIRP dues. ¶ 14	Applicant	Followed

Trimurti Concast Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Limited

National Company Law Tribunal, Allahabad Bench (Prayagraj) · Division Bench · 23 February 2023 · 2023 SCC OnLine NCLT 11590 · IA No. 409/2022 in CP(IB) No. 355/ALD/2019 · **IA allowed; the licensee held not legally correct in rejecting the new-connection application on account of pre-CIRP dues, and directed to consider the corporate debtor's application and take immediate steps to energise a new connection as a going concern, without recovery of pre-CIRP dues from the corporate debtor (other requirements of the Electricity Act, 2003 r/w U.P. Supply Code, 2005 to be adhered to)**

HEADNOTE

Where a resolution plan for a corporate debtor has been approved under Section 31 of the Insolvency and Bankruptcy Code, 2016 and the management has passed to the Successful Resolution Applicant, the distribution licensee cannot refuse the corporate debtor (under new management) a fresh electricity connection on the ground of pre-CIRP electricity dues invoking Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 r/w Section 180 of the Electricity Act, 2003. On approval of the plan all claims not forming part of it stand frozen and extinguished (*Ghanshyam Mishra & Sons v. Edelweiss ARC*), and Section 32A(2) of the Code bars any action against the property of the corporate debtor for a pre-CIRP liability where the plan results in a change of control to a person not connected with the erstwhile management. The corporate debtor is an independent entity and is not liable for pre-CIRP dues after approval of the plan; the licensee's reliance on *Narendra Singh Panwar v. PVVNL* was misplaced, as that decision concerned only the co-extensive personal liability of the erstwhile directors as guarantors under an independent contract of guarantee, not the liability of the corporate debtor itself. The licensee was accordingly directed to provide a new connection to support the revival of the corporate debtor as a going concern, without recovering pre-CIRP dues from it.

HOLDING-UNITS

INTERPLAY · IBC::31

Clean slate on approval of a resolution plan: pre-CIRP electricity dues extinguished; new connection cannot be denied to the corporate debtor under new management

QUESTION

After a resolution plan is approved under Section 31 IBC and control passes to the Successful Resolution Applicant, can the distribution licensee refuse the corporate debtor a fresh connection under Clause 4.3(f) of the U.P. Supply Code for pre-CIRP electricity dues?

HOLDING

No. Once a resolution plan is approved under Section 31, all claims not forming part of the plan stand frozen and extinguished and no person may initiate or continue proceedings in respect of them (*Ghanshyam Mishra & Sons*). The corporate debtor, being an independent entity under new management, is not liable for pre-CIRP dues; the licensee cannot invoke Clause 4.3(f) to refuse a new connection on account of such dues and must energise the connection to support the corporate debtor as a going concern, subject otherwise to the Electricity Act, 2003 and Supply Code, 2005.

¶ 5-9

LIMITING FACTS

Resolution plan approved 22.03.2022; SRA (Shree Shailja Iron & Steel) took over; SRA paid the admitted claim of Rs. 6,62,848; new management applied for a fresh connection which the Executive Engineer rejected citing pre-CIRP dues on the premises.

INTERPLAY · IBC::32A

Statutory bar on action against the property of the corporate debtor for pre-CIRP liabilities after a change of control

QUESTION

Does Section 32A(2) protect the property of the corporate debtor from action for a pre-CIRP liability where the approved plan results in a change of control to an unconnected person?

HOLDING

Yes. By Section 32A(2), no action can be taken against the property of the corporate debtor in relation to an offence/liability committed prior to commencement of CIRP where the property is covered by an approved resolution plan resulting in a change of control to a person who was not a promoter/related party of the erstwhile management. The licensee (a State instrumentality) therefore cannot proceed against the corporate debtor's property or premises for pre-CIRP dues. ¶ 8-9

LIMITING FACTS

Change of control effected by the approved plan to the SRA, who was unconnected with the suspended ex-directors.

PRINCIPLE TAGS

resolution-plan-clean-slate-extinguishes-pre-cirp-dues On approval of a resolution plan under s.31 IBC, pre-CIRP claims not in the plan are extinguished; the corporate debtor under new management cannot be denied a fresh electricity connection for those dues. Lead authorities: *Ghanshyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.* ¶ 7-9

section-32a-protects-corporate-debtor-property-pre-cirp Section 32A(2) bars action against the corporate debtor's property for pre-CIRP liabilities once an approved plan changes control to an unconnected person. ¶ 8-9

corporate-debtor-liability-distinct-from-director-guarantor-liability Extinguishment of the corporate debtor's pre-CIRP liability is distinct from the co-extensive personal liability of erstwhile directors as guarantors under an independent contract of guarantee. Lead authorities: *Narendra Singh Panwar v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 6-7

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — PERSONAL/GUARANTOR LIABILITY OF THE ERSTWHILE DIRECTORS OF THE CORPORATE DEBTOR

The order clarifies that Narendra Singh Panwar concerned only the directors' co-extensive guarantee liability, which was not the subject of this IA. ¶ 7

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ghanshyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.</i> Civil Appeal No. 8129 of 2019, decided 13 April 2021 Supreme Court	Once a resolution plan is duly approved by the Adjudicating Authority under Section 31(1), the claims provided in the plan stand frozen and bind the corporate debtor and all stakeholders; all claims not part of the plan stand extinguished and no person may initiate or continue proceedings in respect of a claim not part of the plan. Statutory dues owed to the Central/State Government or local authority, if not part of the plan, also stand extinguished.	Applied to hold that the licensee's pre-CIRP electricity dues, not forming part of the approved plan, stood extinguished and could not bar a fresh connection to the corporate debtor. ¶ 7	Applicant	Applied
<i>Narendra Singh Panwar v. Paschimanchal Vidyut Vitran Nigam Limited</i> WRIT-C No. 26355 of 2022, Allahabad High Court, decided 12 January 2023 Allahabad High Court (DB)	Approval of a resolution plan does not ipso facto absolve a surety/guarantor of his liability arising out of an independent contract of guarantee; a demand notice for electricity dues issued jointly against the directors of the corporate debtor (as guarantors) cannot be set aside merely because of acceptance of the resolution plan under Section 31.	Distinguished as inapplicable: it addressed only the co-existent personal guarantee liability of the ex-directors, not the liability of the corporate debtor, which stands extinguished on approval of the plan. ¶ 6-7	Respondent	Distinguished

S.K. Construction Co. v. State of U.P. & Ors.

National Company Law Tribunal, Allahabad Bench (Prayagraj) · Division Bench · 28 February 2023 · 2023 SCC OnLine NCLT 14894 · IA No. 223/2022 in CP(IB) No. 23/ALD/2017 · **IA allowed; licensee directed to complete documentation and energise a new connection in terms of the Electricity Act, 2003 without insisting on payment of pre-CIRP dues, the applicant to complete all other statutory requirements**

HEADNOTE

A Successful Auction Purchaser of the liquidated assets of a corporate debtor cannot be refused a fresh electricity connection on the ground of the pre-CIRP electricity dues of the corporate debtor. By Section 238 of the Insolvency and Bankruptcy Code, 2016 — a subsequent parliamentary law with a non-obstante clause — the Code overrides the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 to the extent of any inconsistency (following the NCLAT in PVVNL v. Raman Ispat, whose appeal is pending in the Supreme Court but unstayed). Clause 4.3(f) of the Supply Code, which makes outstanding dues a first charge and casts joint liability on seller and purchaser, is inconsistent with the Section 53 waterfall, under which the licensee is at most a secured operational creditor entitled to receive pre-CIRP dues only through the liquidation distribution. The right to recover pre-CIRP dues stands extinguished on completion of the liquidation, and if a duty to supply is cast by the Electricity Act the licensee must energise the connection without insisting on those dues (following the Calcutta High Court in West Bengal SEDCL v. Sri Vasavi Industries).

HOLDING-UNITS

INTERPLAY · IBC::238

IBC override of the Supply Code; auction purchaser not liable for the corporate debtor's pre-CIRP electricity dues

QUESTION

Does Section 238 IBC override Clause 4.3(f) of the U.P. Supply Code so that a successful auction purchaser of the liquidated assets need not clear the corporate debtor's pre-CIRP electricity dues to obtain a fresh connection?

HOLDING

Yes. Section 238, being a non-obstante provision in a subsequent parliamentary enactment, gives the Code overriding effect over the Electricity Act, 2003 and the Supply Code, 2005 wherever inconsistent (following NCLAT in PVVNL v. Raman Ispat). Clause 4.3(f), which makes outstanding dues a first charge and casts joint liability on seller and purchaser, is inconsistent with the Section 53 scheme and cannot be enforced against the auction purchaser; the licensee's plea to recover pre-CIRP dues from the purchaser before energising the connection was rejected. ¶ 9-13

LIMITING FACTS

Applicant purchased land and building of erstwhile corporate debtor Raman Ispat in the liquidation auction (Rs. 3.06 crore); sale certificate clause 8 provided the licensee's claim would be met from sale proceeds; NCLT (21.08.2018) and NCLAT (15.05.2019) had already held the licensee to be an operational creditor to realise dues in liquidation.

INTERPLAY · IBC::53

Liquidation waterfall: licensee a secured operational creditor recovering pre-CIRP dues only under Section 53; extinguishment of the right to recover from the purchaser

QUESTION

How are the licensee's pre-CIRP electricity dues to be recovered where the premises are sold in liquidation, and can they be recovered from the auction purchaser as a pre-condition to supply?

HOLDING

The licensee is at most a secured operational creditor and is entitled to receive its pre-CIRP dues only through the Section 53 distribution of liquidation proceeds; it cannot recover them from the successful auction purchaser. On completion of the liquidation the right to recover those dues stands extinguished, and where the Electricity Act casts a duty to supply, the licensee is bound to energise a fresh connection without insisting on the pre-CIRP dues. ¶ 13-16

LIMITING FACTS

Corporate debtor's assets sold in liquidation; licensee's claim (Rs. 4,32,33,883) lodged with the Liquidator; demand raised against the auction purchaser as a pre-condition to connection.

PRINCIPLE TAGS

section-238-ibc-overrides-supply-code-clause-4.3f Section 238 IBC overrides Clause 4.3(f) of the U.P. Supply Code where inconsistent; a fresh connection to an auction purchaser cannot be conditioned on clearing the corporate debtor's pre-CIRP dues. Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd. (NCLAT)*. ¶ 9-13

pre-cirp-electricity-dues-recoverable-only-under-section-53-waterfall The licensee is a secured operational creditor recovering pre-CIRP dues only through the Section 53 waterfall, not from the auction purchaser; on liquidation the right to recover from the premises/purchaser is extinguished. Lead authorities: *West Bengal State Electricity Distribution Co. Ltd. v. Sri Vasavi Industries Ltd.*. ¶ 13-16

duty-to-supply-survives-extinguishment-of-right-to-recover On extinguishment of the right to recover, if a duty to supply is cast under the Electricity Act, 2003, the licensee cannot escape performing that duty and must energise the connection. Lead authorities: *West Bengal State Electricity Distribution Co. Ltd. v. Sri Vasavi Industries Ltd.*. ¶ 14-16

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — FINAL CORRECTNESS OF THE NCLAT'S SECTION 238 RULING IN PUVNL V. RAMAN ISPAT

The NCLAT order (15.05.2019) was under challenge in the Supreme Court (CA No. 7976/2019) but unstayed; the Tribunal decided the issue as per the NCLAT ruling. ¶ 9-11

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd. (NCLAT)</i> Company Appeal (AT) (Insolvency) No. 639 of 2018, decided 15 May 2019 National Company Law Appellate Tribunal	Section 238 of the I&B Code, being a subsequent parliamentary law with a non-obstante clause, has overriding effect on all laws in force including the Electricity Act, 2003 and the rules/regulations framed thereunder where inconsistent; the Electricity Act cannot override the Code. The licensee is granted liberty to lodge its electricity dues with the Liquidator.	Followed to hold that Clause 4.3(f) of the Supply Code yields to the Code and the auction purchaser need not clear pre-CIRP dues. ¶ 9-11	Applicant	Followed
<i>West Bengal State Electricity Distribution Co. Ltd. v. Sri Vasavi Industries Ltd.</i> MAT 646 of 2022, Calcutta High Court, decided 12 July 2022 Calcutta High Court (DB)	In case of conflict with State legislation the IBC prevails over the State Electricity Regulation; on extinguishment of the right to recover pre-resolution dues, if a duty to supply is cast under the Electricity Act, 2003, the supplier cannot escape performing that duty and must provide the connection.	Followed to direct energisation of the connection without insisting on pre-CIRP dues. ¶ 14	Applicant	Followed
<i>Innovative Industries Ltd. v. ICICI Bank</i> (2018) 1 SCC 407 Supreme Court	The IBC, by its non-obstante clause (Section 238), has overriding effect over any other law for the time being in force in case of inconsistency.	Referred in support of the IBC's overriding effect over the Electricity Supply Code. ¶ 2(viii)	Applicant	Referred